



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the Year Ended 31 March 2019

ORIENT FINANCE PLC
INCOME STATEMENT

For the	Quarter Ended 31 March		Year ended 31 March		Variance
	2019 Rs.	2018 Rs.	2019 Rs. Unaudited	2018 Rs. Audited	
Income	847,736,756	909,632,626	3,493,361,907	3,496,108,852	-0.08%
Interest income	788,950,704	851,555,973	3,239,037,768	3,311,048,574	-2.17%
Interest expenses	(483,980,658)	(512,847,642)	(1,949,919,167)	(2,116,906,558)	-7.89%
Net interest income	304,970,046	338,708,331	1,289,118,601	1,194,142,016	7.95%
Fee and commission income	42,321,689	30,119,208	179,130,466	112,111,650	59.78%
Other operating income	16,464,363	27,957,445	75,193,673	72,948,628	3.08%
Total operating income	363,756,098	396,784,984	1,543,442,740	1,379,202,294	11.91%
Impairment charges for loans and receivables to customers	(127,144,115)	(133,922,765)	(597,471,366)	(545,680,634)	9.49%
Net operating income	236,611,983	262,862,219	945,971,374	833,521,660	
Operating expenses					
Personnel expenses	(91,793,328)	(80,472,000)	(390,696,901)	(369,855,285)	5.64%
Depreciation and amortization	(8,608,816)	(6,134,314)	(28,558,126)	(23,437,189)	21.85%
Other operating expenses	(102,344,232)	(113,780,406)	(442,499,510)	(488,580,521)	-9.43%
Operating profit/(loss) before Value Added Tax and NBT	33,865,607	62,475,499	84,216,837	(48,351,335)	274.18%
Value Added Tax and NBT on financial services	(10,915,568)	(24,701,093)	(53,245,483)	(55,366,426)	-3.83%
Profit /(loss) before income tax	22,950,039	37,774,406	30,971,354	(103,717,761)	129.86%
Income tax expense	-	-	-	(6,528,018)	-100.00%
Profit/(loss) for the year	22,950,039	37,774,406	30,971,354	(110,245,779)	128.09%
Other Comprehensive Income					
Available for sale financial assets - Net change in fair value	(89,479)	(3,331,990)	855,067	1,759,556	-51.40%
Actuarial gain/(loss) on retirement benefit	-	-	-	(1,567,022)	-100.00%
Deferred tax effect on above	-	-	-	(438,766)	-100.00%
	22,860,560	34,442,416	31,826,421	(110,492,011)	128.80%
Basic earnings per share (Rs.)	0.16	0.26	0.21	(0.74)	
Diluted earnings per share (Rs.)	0.16	0.3	0.21	(0.74)	
Dividend per share (Rs.)	-	-	-	0.25	

Figures in brackets indicate deductions.

Colombo
28th May, 2019

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

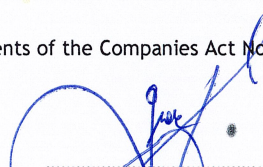
As At 31st March

	2019 Rs.	2018 Rs.	Variance
	Unaudited	Audited	
ASSETS			
Cash and cash equivalents	180,698,995	195,581,111	-8%
Available for sale financial assets through OCI	936,939,610	945,559,444	-1%
Loans and receivables to customers	14,006,154,198	14,504,333,754	-3%
Investments with banks and other financial institutions	286,484,085	754,474,257	-62%
Other assets	269,487,822	210,103,729	28%
Real estate stock	16,772,709	16,779,715	0%
Deferred tax asset	364,794,715	270,475,120	35%
Goodwill	564,545,746	564,545,746	0%
Brand value	235,880,000	235,880,000	0%
Intangible assets	1,505,430	1,975,920	-24%
Property, plant and equipment	446,722,482	415,618,078	7%
Total assets	17,309,985,792	18,115,326,874	-4%
LIABILITIES			
Bank overdrafts	610,624,135	138,490,215	341%
Deposits from customers	10,479,531,283	11,852,625,030	-12%
Interest bearing borrowings	2,091,868,611	1,806,789,942	16%
Term debts	1,012,265,985	998,261,067	1%
Redeemable preference shares	512,216,926	456,209,985	12%
Other liabilities	410,789,080	463,026,304	-11%
Retirement benefit obligations	55,349,003	51,873,885	7%
Total liabilities	15,172,645,023	15,767,276,428	-4%
EQUITY			
Stated capital	1,378,689,779	1,378,689,779	0%
Statutory reserve fund	305,274,930	305,274,930	0%
Revaluation reserve	112,291,899	112,291,899	0%
Available for sale reserve	1,069,032	213,964	400%
Retained earnings	340,015,129	551,579,874	-38%
Total equity	2,137,340,769	2,348,050,446	-9%
Total equity and liabilities	17,309,985,792	18,115,326,874	-4%
Net assets per share	14.44	15.86	

Figures in brackets indicate deductions.

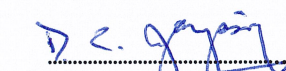
The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

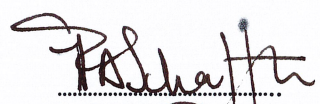

.....
Sanjeeva Jayasinghe
Senior Manager - Finance


.....
Jude Anthony
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board;


.....
Dr. Dayanath Jayasuriya
Chairman


.....
Prakash Schaffter
Director

Colombo
28th May, 2019

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the year ended 31st March 2019,

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Available for sale value reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April 2017	1,378,689,779	305,274,930	116,471,908	(1,545,592)	700,836,034	2,499,727,059
Profit/(Loss) for the year	-	-	-	-	(110,245,779)	(110,245,779)
Other comprehensive income net of taxes	-	-	-	1,759,556	(2,005,788)	(246,232)
Revaluation gain on land written off	-	-	(4,180,009)	-	-	(4,180,009)
Dividend Paid	-	-	-	-	(37,004,593)	(37,004,593)
Transfer to statutory reserve	-	-	-	-	-	-
Balance as at 31st March, 2018	1,378,689,779	305,274,930	112,291,899	213,964	551,579,874	2,348,050,446
Impact on adoption of SLFRS 09						
Recognition of SLFRS 09 ECLs					(336,855,693)	(336,855,693)
Deferred Tax on transitional adjustment					94,319,594	94,319,594
Balance as at 01st April, 2018	1,378,689,779	305,274,930	112,291,899	213,964	309,043,775	2,105,514,347
Profit/(Loss) for the year	-	-	-	-	30,971,354	30,971,354
Other comprehensive income (expense) net of taxes	-	-	-	855,067	-	855,067
Transfer to statutory reserve	-	-	-	-	-	-
Balance as at 31st March, 2019	1,378,689,779	305,274,930	112,291,899	1,069,031	340,015,129	2,137,340,768

Figures in brackets indicate deductions.

Colombo
28th May, 2019

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

For the year ended 31st March

	2019 Rs.	2018 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	30,971,354	(103,717,761)
Adjustment for;		
Depreciation/amortization	28,558,126	23,437,189
Loss on disposal of property, plant and equipment	(52,313)	3,265,316
Impairment charges for loans and receivables to customers	597,471,366	545,680,634
Finance expenses	1,949,919,167	2,116,906,558
Profit on sale of real estate	-	(4,868,206)
Investment income	(156,669,506)	(153,343,909)
Provision for gratuity	14,000,002	11,159,696
Operating profit/(Loss) before working capital changes	2,464,198,196	2,438,519,517
Change in loans and receivables to customers	(436,147,503)	1,366,088,756
Change in other assets	(59,384,093)	(14,514,125)
Change in deposits from customers	(1,330,634,429)	2,187,323,849
Change in other liabilities	(52,237,224)	(68,607,558)
	585,794,947	5,908,810,439
Interest paid	(1,850,685,994)	(1,866,047,309)
Income tax paid	-	(2,498,544)
Gratuity paid	(10,524,884)	(5,752,118)
Net cash from/(used in) operating activities	(1,275,415,931)	4,034,512,468
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(59,547,042)	(27,222,665)
Proceeds from sale of property, plant and equipment	407,312	166,835
Proceeds from sale of real estate	7,006	10,558,015
Net change in available for sale financial assets	9,474,901	(103,912,819)
Net change in investments with bank and other financial institutions	467,990,172	(385,314,193)
Investment income received	156,669,506	153,343,909
Net cash generated from/(used in) investing activities	575,001,855	(352,380,918)
Cash flows from financing activities		
Interest bearing borrowings obtained	4,578,904,728	3,344,000,000
Repayment of interest bearing borrowings	(4,275,006,688)	(6,351,178,527)
Interest paid on debentures	(90,500,000)	(90,500,000)
Dividend paid	-	(37,004,593)
Net cash generated from/(used in) financing activities	213,398,040	(3,134,683,120)
Net change in cash and cash equivalents	(487,016,036)	547,448,430
Cash and cash equivalents at the beginning of the year	57,090,896	(490,357,534)
Cash and cash equivalents at the end of the year (Note A)	(429,925,140)	57,090,896
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	161,372,626	141,293,580
Cash at bank	19,326,369	54,287,531
Bank overdrafts - secured	(610,624,135)	(138,490,215)
	(429,925,140)	57,090,896

Figures in brackets indicate deductions.

Colombo
28th May, 2019

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2018. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.

2 **Sri Lanka Accounting Standard - SLFRS 09 on Financial Instruments**

Sri Lanka Accounting Standard SLFRS 09 (Financial Instruments) is effective for annual periods beginning on or after 01st January 2018. SLFRS 09 (Financial Instruments) replaces the existing "LKAS 39 - Financial Instruments Recognition and Measurement " which carried out at "incurred loss model "to forward looking "Expected Loss Model". SLFRS 09 contains a new classification and measurement approach for financial assets that reflects the business model in which assets are managed based on their cash flow characteristics.

Based on the "Statement of Alternative Treatment (SoAT) on the figures in the Interim Financial Statements" issued by the Institute of Chartered Accountants of Sri Lanka, entities are granted with the option to prepare Interim Financial Statements continuing the application of LKAS 39 with disclosures on impact to the statement of profit or loss and Other Comprehensive income for the period, if SLFRS 09 has been applied.

The company prepared the Quarterly Financial Statements for the quarter ended 31 March 2019, based on SLFRS 09. The comparative information for 31 March 2018 is reported under LKAS 39 and is not comparable to the information presented for 31 March 2019. The total additional impairment provision arising from SLFRS 09 for the Year Ended 31 March 2019 has been recognized entirely in the 04th quarter of the year.

The impact of adopting SLFRS 09 at the transition date, April 01 2018 on the Statement of financial position and equity are given in the Note 07 under transition disclosures.

- 3 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 4 The Board of Directors of Orient Finance PLC has resolved to convert the existing 4,000,496 preference shares of the company to 24,002,976 Ordinary Shares (at an issue price of LKR19.59 per share) subject to the approval of the preference shareholders of the company, and all other shareholder and regulatory approvals. Additionally a maximum of 3,906,978 fully paid shares would be issued in respect of preference share dividend amounting to Rs.76,537,704,66, calculated at LKR 19.59 per Ordinary Share, by way of a Private Placement. Out of the said 27,909,954 Ordinary Shares, 24,002,976 Ordinary Shares will be issued to the capital outstanding of the existing Preference Shareholders at a proportion of 06 Ordinary Shares to every 01 Preference Share held. The Ordinary Shares so issued will be listed in the Colombo Stock Exchange (CSE), in addition to the 148,018,370 Ordinary Shares of the Company currently listed in the CSE. The Ordinary Shares issued by way of the Private Placement is subject to obtaining all statutory approvals and Ordinary and Preference Shareholders at an Extra Ordinary General meeting.
- 5 All known expenses have been provided for in these Financial Statements.
- 6 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2018.

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS
7 Transition Disclosures

Reconciliation between the carrying amounts under LKAS 39 to the balance reported under SLFRS 09 as at 01 April 2018

Impact from transition to SLFRS 09 on Financial Assets, Liabilities and Equity

Description		LKAS 39 measurement as at 31 March 2018	Reclassification	Remesurement (ECL)		SLFRS 09 measurement as at 01 April 2018
	Category	Amount			Amount	Category
Financial Assets						
Cash and cash equivalents	Loans and Receivables	195,581,111	-	-	195,581,111	Financial Assets at Amortised Cost
						Financial Assets measured at fair value through other comprehensive income
Available for sale financial assets	Available for sale	945,559,444	-	-	945,559,444	
Loans and receivables to customers	Loans and Receivables	14,504,333,754	-	(336,855,693)	14,167,478,061	Financial Assets at Amortised Cost
Investments with banks and other financial institutions	Loans and Receivables	286,484,085	-	-	286,484,085	Financial Assets at Amortised Cost
		<u>15,931,958,394</u>	-	<u>(336,855,693.00)</u>	<u>15,595,102,701</u>	
Financial Liabilities						
Bank overdrafts	Financial Liabilities at Amortized Cost	138,490,215	-	-	138,490,215	Financial Liabilities at Amortized Cost
Deposits from customers	Financial Liabilities at Amortized Cost	11,852,625,030	-	-	11,852,625,030	Financial Liabilities at Amortized Cost
Interest bearing borrowings	Financial Liabilities at Amortized Cost	1,806,789,942	-	-	1,806,789,942	Financial Liabilities at Amortized Cost
Term debts	Financial Liabilities at Amortized Cost	998,261,067	-	-	998,261,067	Financial Liabilities at Amortized Cost
Redeemable preference shares	Financial Liabilities at Amortized Cost	456,209,985	-	-	456,209,985	Financial Liabilities at Amortized Cost
Current tax payable	Financial Liabilities at Amortized Cost	0	-	-	0	Financial Liabilities at Amortized Cost
Other liabilities	Financial Liabilities at Amortized Cost	463,026,304	-	-	462,984,472	Financial Liabilities at Amortized Cost
		<u>15,715,402,543</u>	-	-	<u>15,715,360,711</u>	

Impact from transition to SLFRS 09 on Reserves

	<u>Amount</u>
Retained Earnings	
Closing Balance under LKAS 39 as at 31 March 2018	551,579,874.00
Recognition of SLFRS 09 ECLs	(336,855,693)
Deferred Tax on transitional adjustment	94,319,594
Opening Balance under SLFRS 09 as at 01 April 2018	<u>309,043,775.04</u>

Listed Debenture Information

Debenture	31-Mar-19 Rs	31-Mar-18 Rs
Debentures Issued in 2014 (Deb. 02)	1,000,000,000	1,000,000,000
	1,000,000,000	1,000,000,000

Debenture 02	31-Mar-19	31-Mar-18
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.68	6.47
Interest Coverage Ratio (Times)	0.96	1.01
Liquid Asset Ratio	9.39%	8.95%
Interest Rate of comparable Government Securities	9.99%	9.68%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*

* N/T - Not Traded

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	31st March 2019	31st March 2018
Value of Ordinary Shares (Rs.)	1,378,689,780	1,378,689,780
No. of Ordinary Shares	148,018,370	148,018,370

Share Price During the Period	For the Quarter Ended 31-Mar-19	31-Mar-18
Highest (Rs)	17.40	21.70
Lowest (Rs)	12.80	13.30
Closing (Rs)	13.00	18.90

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 31st March 2019**

	Name	No. of Shares	%
1	Janashakthi PLC	132,940,720	89.81
2	First Capital PLC	2,860,041	1.93
3	Mr. L.P.Mendis	566,495	0.38
4	Seylan Bank Plc/ S.R. Fernando	695,328	0.47
5	Mr. R.A.B.K.Kumara	500,000	0.34
6	Mr. K.S.S. Peris	512,209	0.35
7	Mr.N.L.S.Fernando	329,177	0.22
8	Mr. A.S.A.Fernando	529,288	0.36
9	M/S Commercial Credit And Finance Plc	330,000	0.22
10	Mrs. M. N. S. Fernando	248,555	0.17
11	Mr.R.E.Rambukwella	149,000	0.10
12	Mr. G.A.C.De Silva	211,000	0.14
13	Mr.M.K.De Livera	207,628	0.14
14	Mr. S.D.S. Gunasekera	200,000	0.14
15	M/S Merchant Bank of Sri Lanka & Finance PLC/ D.L.J. Priyadarshana	344,541	0.23
16	Dr. N.C.N. Amarasena	195,000	0.13
17	Mr. R.M.P. Dayawansa	19,130	0.01
18	Seylan Bank PLC/ K.L.G.Udayanda	177,794	0.12
19	Mr. A.T.Abeyasinghe	139,384.00	0.09
20	Mr. K.D.A. Weerasinghe	133,400.00	0.09
	Others	6,729,680	4.55
	Total	148,018,370	100.00

Directors' Shareholding as at 31st March 2019

	Name of the Director	No. of Shares	%
1	Dr. D.C. Jayasuriya PC - Chairman	-	-
2	Mr. Prakash Schaffter	10	-
3	Mr. Ananda W. Atukorala (Resigned w.e.f 31 March 2019)	-	-
4	Mr. K. M. A. T. B. Tittawella	-	-
5	Ms. Minette D. A. Perera	-	-
6	Ms. Indrani Goonesekera	-	-
8	Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
	Total	20	

ACEO's Shareholding as at 31 March 2019

Mr. Jude Anthony	-	-
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Public Holding as at 31st March 2019

Number of Public Shareholders	15,077,610
Public Shareholding Percentage	1,033
Float Adjusted market capitalization (Rs)	8.74%
	168,178,472

According to the option 2 of 7.13.1 (b) of the listing rules the company is non compliant with the minimum public holding requirement as at 31 March 2019. The company is in the process of taking corrective actions.

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has three reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers

Loans - Provision of Loan facilities to customers

Factoring - Debt factoring

Gold Loan - Provision of loans against gold

For the year ended 31 March	Finance leases, hire purchases		Loans		Factoring		Gold Loan		Total	
	2019	2018	2019	2018	2019	2018	2019	2018	2019	2018
	Rs	Rs	Rs	Rs	Rs	Rs	Rs	Rs	Rs	Rs
Interest income	2,493,832,240	2,465,874,032	468,140,029	562,844,711	117,908,815	247,579,653	159,156,684	34,750,177	3,239,037,768	3,311,048,574
Fee and commission income	160,654,792	54,683,213	6,746,935	18,502,616	10,613,532	38,300,030	1,115,207	625,791	179,130,466	112,111,650
Other income	55,770,334	53,112,260	11,148,750	13,631,462	2,711,411.41	4,689,698.21	5,563,178	1,515,208	75,193,673	72,948,628
Total segmental income	2,710,257,366	2,573,669,505	486,035,714	594,978,789	131,233,758	290,569,382	165,835,069	36,891,177	3,493,361,907	3,496,108,852
Less: Interest expense	(1,461,233,963)	(1,541,272,184)	(289,108,911)	(395,573,311)	(70,312,207)	(136,091,016)	(129,264,086)	(43,970,046)	(1,949,919,167)	(2,116,906,558)
Segmental results	1,249,023,403	1,032,397,320	196,926,803	199,405,477	60,921,551	154,478,366	36,570,982	(7,078,869)	1,543,442,740	1,379,202,294
Depreciation and amortization	(21,181,253)	(17,064,139)	(4,234,231)	(4,379,575)	(1,029,779)	(1,506,727)	(2,112,863)	(486,748)	(28,558,126)	(23,437,189)
Impairment charge	(329,950,525)	(302,571,152)	(133,897,143)	(109,916,761)	(133,623,698)	(133,558,000)	0	365,279	(597,471,366)	(545,680,634)
Other Expenses	(684,870,363)	(665,318,909)	(135,445,248)	(170,756,604)	(40,012,149)	(58,746,227)	(26,114,134)	(18,980,491)	(886,441,894)	(913,802,232)
Income tax	-	(4,752,903)	-	(1,219,850.58)	-	(419,671.15)	-	(135,593)	0	(6,528,018)
Profit/(loss) after tax	213,021,262	42,690,216	(76,649,819)	(86,867,313)	(113,744,074)	(39,752,259)	8,343,985	(26,316,423)	30,971,354	(110,245,779)
Segmental assets	12,751,697,935	13,189,363,185	2,616,399,346	3,385,099,740	636,316,641	1,164,592,376	1,305,571,870	376,271,573	17,309,985,792	18,115,326,874
Segmental liabilities	11,253,386,762	11,479,800,320	2,249,604,473	2,946,333,992	547,110,962.46	1,013,641,655	1,122,542,826	327,500,461	15,172,645,023	15,767,276,428